from the issue of paper notes which were not the representatives of real capital.[13] The promoters of the bank had appealed to the old mercantile houses for support but this was not given since they had enjoyed almost the whole business which properly speaking belonged to a banking institution. Little surprise then that the old houses did not want a new institution to poach on their turf. It is interesting to note that for a number of years, the government Treasury had been used by the local capitalists as a bank of deposit. This also reflected the relative plenitude of capital in Bombay. The practice was stopped in 1836 and this may have acted as a stimulus for the middle-ranking capitalists to try and set up a joint-stock bank.

The Act stipulated that the bank could not be incorporated until the capital which was to be between ₹50 and ₹56 lakhs was fully paid-up. As a result of the excessive demand for shares, the provisional committee which had promoted the bank had been obliged to raise the projected capital of the bank from ₹30 lakhs to ₹52.25 lakhs and this was the capital with which the bank commenced business. As was the case with the Bank of Bengal, three Directors were appointed by the government who contributed ₹3 lakhs towards the capital of the bank, and six Directors were elected by the proprietors. Three days after the bank opened its doors, the government of Bombay published a notification regarding the acceptance of Bank of Bombay notes in public offices.

Barely two months after the bank started its operations, the British started the Opium War against the Chinese by blockading the Canton estuary. As a result the new crop of Malwa opium sold very cheaply in Bombay and the new institution found that there was only limited demand for business advances under those conditions. Since the bank’s charter prohibited foreign exchange operations, this led to the rise of two Bombay based joint-stock banks within the next five years—the Bank of Western India and the Commercial Bank of India. These banks did not confine themselves to only foreign exchange business and their competition also reduced the avenues for employment of its capital. The bank weathered the commercial crisis of 1847–48, including a run on the bank in November 1848 following the discovery of some forged notes of the bank in the bazaar. Bombay’s trade expanded rapidly in the 1850s and by the end of the decade had overtaken that of Bengal. The construction of the railway across the Western Ghats greatly reduced the cost of bringing cotton from the Deccan to Bombay.